

Customer Risk Rating (CRR) Methodology

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1. Overview

Every NWB customer receives a Customer Risk Rating (CRR) score from 0 to 100, calculated nightly in the Harbor Data Lake and published to Sentinel TM. The CRR band determines which monitoring scenarios apply (see NWB-POL-101) and how often the customer's due diligence is refreshed.

2. Scoring Factors

Factor	Weight	Examples of high-risk indicators
Geography	25	Residence or business in high-risk jurisdictions; frequent cross-border wires
Transaction behavior	25	High cash intensity; activity inconsistent with stated occupation
Product and channel	20	Private banking, correspondent accounts, remote deposit capture
Customer type	20	Cash-intensive businesses, money services businesses, shell entities
Adverse media / PEP	10	Negative news hits; politically exposed person status

3. Risk Bands

Band	CRR score	Due diligence refresh	Monitoring
Low	0 - 39	Every 36 months	Standard scenarios (SCN-01)
Medium	40 - 69	Every 24 months	Standard scenarios (SCN-01)
High	70 - 100	Every 12 months, with EDD	Enhanced scenarios including SCN-01H

4. Overrides

- Politically exposed persons (PEPs) are rated High regardless of score.
- A manual downgrade from High requires approval from the BSA/AML Officer.
- A filed SAR triggers a re-score within 15 calendar days.

5. Data Lineage

CRR inputs are sourced from CUST_MASTER and 12 months of transaction history in the Harbor Data Lake curated zone. If CUST_MASTER is late, the previous day's CRR scores are carried forward.